

**SUPERIOR COURT, STATE OF CALIFORNIA  
COUNTY OF SANTA CLARA**

**Department 19, Honorable Theodore C. Zayner Presiding**

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**LAW AND MOTION TENTATIVE RULINGS**

**DATE: August 5, 2026      TIME: 1:30 P.M.  
PREVAILING PARTY SHALL PREPARE THE ORDER  
UNLESS OTHERWISE STATED (SEE [RULE OF COURT 3.1312](#))**

| <b>LINE #</b>           | <b>CASE #</b> | <b>CASE TITLE</b>                                                  | <b>RULING</b>                                    |
|-------------------------|---------------|--------------------------------------------------------------------|--------------------------------------------------|
| <a href="#">LINE 1</a>  | 25CV460058    | Phillip Clarin vs Proper Hospitality, LLC (Class Action)           | See <a href="#">Line 1</a> for tentative ruling. |
| <a href="#">LINE 2</a>  | 22CV394907    | Steer v. Town of Los Gatos, et al. (CEQA)                          | See <a href="#">Line 2</a> for tentative ruling. |
| <a href="#">LINE 3</a>  | 23CV424955    | Khatanbaatar v. Infogain Technologies, Inc., et al. (Class Action) | See <a href="#">Line 3</a> for tentative ruling. |
| <a href="#">LINE 4</a>  | 24CV432129    | Bobadilla v. Loan Factory, Inc. (Class Action)                     | See <a href="#">Line 4</a> for tentative ruling. |
| <a href="#">LINE 5</a>  | 24CV432129    | Bobadilla v. Loan Factory, Inc. (Class Action)                     | See <a href="#">Line 4</a> for tentative ruling. |
| <a href="#">LINE 6</a>  | 25CV464775    | Anthony Turiello vs Piping Systems Engineering Inc.                | See <a href="#">Line 6</a> for tentative ruling. |
| <a href="#">LINE 7</a>  | 25CV464775    | Anthony Turiello vs Piping Systems Engineering Inc.                | See <a href="#">Line 7</a> for tentative ruling. |
| <a href="#">LINE 8</a>  | 25CV464775    | Anthony Turiello vs Piping Systems Engineering Inc.                | See <a href="#">Line 8</a> for tentative ruling. |
| <a href="#">LINE 9</a>  |               |                                                                    |                                                  |
| <a href="#">LINE 10</a> |               |                                                                    |                                                  |
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## **Calendar Line 1**

Case Name: *Clarin v. Proper Hospitality, LLC*  
Case No.: 25CV460058

Defendant Proper Hospitality, LLC (“Proper Hospitality” or “Defendant”) demurs to both causes of action in the Class Action Complaint of Plaintiff Phillip Clarin (“Plaintiff”): (1) violation of the California Invasion of Privacy Act (“CIPA”), Penal Code section 631; and (2) invasion of privacy under Article I, section 1 of the California Constitution. Defendant demurs under Code of Civil Procedure section 430.10(e) (failure to state facts sufficient to constitute a cause of action). The Court has considered the moving papers, the opposition, and the reply. As discussed below, the Court OVERRULES the demurrer in full.

### **I. Background**

#### **A. Factual**

Defendant Proper Hospitality operates a hotel and lodging chain and owns the booking website [www.properhotel.com](http://www.properhotel.com) (the “Website”), through which travelers reserve overnight stays at its properties. (Complaint, ¶¶ 1–2, 10–11.) Plaintiff is an adult resident of Santa Clara County who maintained an active Facebook account with Meta Platforms, Inc. (“Meta”) at all relevant times. (*Id.* at ¶¶ 5–6.)

Plaintiff alleges that, in or about May 2024, he booked an overnight stay at Defendant’s San Francisco location, and that while navigating the Website he entered his destination, the dates of his stay, selected a room, and proceeded through checkout, where guests are prompted to enter name, email address, telephone number, address, and payment information. (Complaint, ¶¶ 7, 48–51.) According to the Complaint, Defendant embedded the Meta Tracking Pixel on the Website, and the Pixel caused Plaintiff’s booking communications and associated identifiers to be duplicated and transmitted to Meta contemporaneously and without Plaintiff’s knowledge or consent. (*Id.* at ¶¶ 24–34, 47–67.) Plaintiff further alleges that this information constitutes protected “guest record” information under Civil Code section 53.5,

and that Meta uses the intercepted data for advertising, analytics, and other independent commercial purposes. (*Id.* at ¶¶ 4, 20–23, 35, 40–44, 85.)

On these allegations, the Complaint asserts two causes of action on behalf of Plaintiff and a putative class of California Facebook users who booked travel on the Website: (1) violation of CIPA, Penal Code section 631; and (2) invasion of privacy under Article I, section 1 of the California Constitution. (Complaint, ¶¶ 68–95.) The Complaint prays for class certification, statutory and other damages, injunctive and declaratory relief, and attorney’s fees. (*Id.* at p. 23.)

## **B. Procedural**

Plaintiff filed the Complaint on February 28, 2025. Defendant moved to transfer venue to Los Angeles County Superior Court, and this Court denied that motion on February 4, 2026. Following meet-and-confer efforts (Declaration of Raymond O. Aghaian, ¶¶ 4–7), Defendant filed the instant demurrer under Code of Civil Procedure section 430.10(e).

Defendant demurs on three grounds: (1) Plaintiff lacks statutory standing under CIPA because he has not alleged a concrete injury; (2) Plaintiff fails to state a CIPA claim because he does not allege the interception of the contents of a communication in transit, any use of information by Meta, or the scienter required for aiding-and-abetting liability; and (3) Plaintiff fails to state a constitutional privacy claim because he alleges no reasonable expectation of privacy and no “highly offensive” conduct, and because that provision does not permit monetary damages. (Dem., pp. 2–3.) Plaintiff opposes each ground and alternatively requests leave to amend. (Opp., pp. 1–2, 15.)

## **II. Legal Standard**

A demurrer tests the legal sufficiency of the pleading and may be sustained only where the defects appear on the face of the complaint or from matters judicially noticeable. (Code Civ. Proc., § 430.30(a).) The Court accepts as true all material facts properly pleaded, together with all reasonable inferences that may be drawn from them, but does not assume the truth of contentions, deductions, or conclusions of law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

The allegations must be liberally construed, with a view to substantial justice between the parties. (Code Civ. Proc., § 452.)

The Court is mindful that the parties have submitted a large volume of federal trial-court authority. Those decisions are persuasive only, and as discussed below, many apply the Article III “concrete injury” requirement and the Rule 12(b)(6) plausibility standard, neither of which governs a California demurrer.

### **III. Statutory Standing Under CIPA**

Defendant first contends that Plaintiff lacks statutory standing under CIPA because he has not pleaded a “concrete and particularized injury,” relying principally on *Popa v. Microsoft Corp.* (9th Cir. 2025) 153 F.4th 784 (*Popa*), and a line of federal district-court decisions dismissing tracking-pixel claims for lack of Article III standing. (Dem., pp. 3–7; Reply, pp. 1–4.) Plaintiff responds that California courts do not import federal standing doctrine, and that Penal Code section 637.2(c) provides that it “is not a necessary prerequisite to an action pursuant to this section that the plaintiff has suffered, or be threatened with, actual damages.” (Opp., pp. 2–5.)

The Court agrees with Plaintiff at the pleading stage. California has no case-or-controversy clause, and California courts do not apply federal-style standing requirements. (See *Jasmine Networks, Inc. v. Superior Court* (2009) 180 Cal.App.4th 980, 991 [California standing turns on whether the action is prosecuted by the real party in interest under Code Civ. Proc., § 367].) The federal decisions Defendant puts forth, such as *Popa*, rest on Article III’s injury-in-fact requirement, a constraint on federal judicial power that does not bind this Court.

Penal Code section 637.2 confers a private right of action on any “person who has been injured by a violation” of CIPA, and subdivision (c) makes clear that actual damages are not a prerequisite. Read together, the statute treats the violation of the enumerated privacy interest as the cognizable injury; the Legislature fixed statutory damages of \$5,000 per violation precisely to relieve plaintiffs of the burden of proving pecuniary harm. Defendant’s reading – that section 637.2(a)’s “injured by a violation” language silently engrafts the federal concrete-injury

test onto subdivision (c) – would render subdivision (c) largely inoperative and is not the most natural construction of the statute.

Defendant’s reliance on the requirement that a plaintiff plead a violation “of his” rights (Reply, pp. 3–4) is better understood as a merits question (i.e., whether Plaintiff has alleged that his own communications were intercepted) rather than a jurisdictional standing bar. On this point, Plaintiff alleges that he personally booked an overnight stay at Defendant’s San Francisco location in or about May 2024, that he maintained an active Facebook account at all relevant times, that he entered his destination, travel dates, room selection, and checkout information, and that his own “offsite activity report” from his Facebook account confirms that his information was transmitted to Meta. (Complaint, ¶¶ 5–9, 67; Opp., 4–5.) Accepted as true, those allegations are particular to Plaintiff and sufficient at the demurrer stage.

Accordingly, the demurrer for lack of statutory standing is **OVERRULED**.

#### **IV. First Cause of Action – CIPA, Penal Code § 631**

Section 631(a) reaches four categories of conduct, commonly labeled Clauses One through Four: (1) intentional wiretapping of a telegraph or telephone line; (2) willfully and without consent reading or learning the contents of a communication “while the same is in transit”; (3) using information so obtained; and (4) aiding, agreeing with, employing, or conspiring with another to do any of the foregoing. Plaintiff proceeds against Proper Hospitality under Clause Four, on the theory that Proper Hospitality aided and abetted Meta’s interception (Clause Two) and use (Clause Three) of Plaintiff’s communications via the Meta Tracking Pixel. (Complaint, ¶¶ 79–86; Opp., pp. 5–6.) Plaintiff does not rely on Clause One, and the demurrer is sustained as unopposed to the extent the claim rests on Clause One. (Dem., p. 7; Reply, p. 4 & fn. 1.) Derivative Clause Four liability requires a predicate violation by Meta, so the Court addresses the predicate elements first.

##### **A. Existence of a “Communication”**

Defendant contends Plaintiff pleads only “record information” (such as URLs, device data, and page-event telemetry) rather than the “contents” of any communication, invoking *In*

*re Zynga Privacy Litigation* (9th Cir. 2014) 750 F.3d 1098, 1106–1107, which distinguishes the substance of a message from record information about it. (Dem., pp. 8–9; Reply, pp. 4–5.) Plaintiff responds that information entered into a website’s forms and booking selections revealing where and when he intended to travel are “contents.” (Opp., pp. 6–8.) Here, the application of this distinction presents a factual question that cannot be resolved against Plaintiff on demurrer.

Plaintiff does more than allege bare page visits. He alleges that, as he moved through the booking flow, the Pixel captured his selected property and location, his check-in and checkout dates, his room selection, the “CONFIRM YOUR STAY” button-click event, and the name, email address, telephone number, and address he entered at checkout. (Complaint, ¶¶ 47–51, 66; Figs. 2–4.) Information a user affirmatively enters into a website’s form (and selections that reveal where and when the user intends to travel) may plausibly constitute “contents” because they convey the substance of what the user communicated. Federal courts addressing hotel-booking pixel data have concluded likewise. (See *Crano v. Sojern, Inc.* (N.D. Cal. Sept. 19, 2025) 2025 WL 2689267, 2025 U.S. Dist. LEXIS 185031 (*Crano*) at \*16 [booking details are “user created information—where and when Plaintiff was planning to and did stay at a hotel and how many rooms she booked,” not mere page visits].) At minimum, whether these data points are contents or record information is not something the Court can decide as a matter of law on the face of the pleading.

## **B. Interception “In Transit”**

This is the most significant of Defendant’s element-based challenges. Defendant correctly argues that the Complaint’s own description of the Pixel, Meta code that directs the browser to send a “separate” and “concurrent” transmission to Meta’s servers (Complaint, ¶¶ 32–34), describes two independent communications rather than the interception of the Plaintiff-to-Defendant communication. Defendant relies on *Smith v. Facebook, Inc.* (N.D. Cal. 2017) 262 F.Supp.3d 943, 951, and on *Crano*, which dismissed a hotel-booking pixel claim on precisely this “in transit” ground. (Dem., pp. 9–10; Reply, pp. 4–6.)

The authorities are genuinely divided, and that division is dispositive at this stage. A substantial body of authority holds that allegations of simultaneous, real-time duplication of a communication to a third party – particularly where supported by a description of the mechanism and by network-traffic screenshots – adequately plead in-transit interception to survive a pleading challenge. (See, e.g., *D’Angelo v. FCA US, LLC* (S.D. Cal. 2024) 726 F.Supp.3d 1179, 1198; *Valenzuela v. Nationwide Mut. Ins. Co.* (C.D. Cal. 2023) 686 F.Supp.3d 969, 1078–1079; *Esparza v. UAG Escondido AI Inc.* (S.D. Cal. Feb. 12, 2024) 2024 WL 559241, 2025 U.S. Dist LEXIS 24429 (*Esparza*); *St. Aubin v. Carbon Health Technologies, Inc.* (N.D. Cal. Oct. 1, 2024) 2024 WL 4369675, 2024 U.S. Dist. LEXIS 179067; see Opp., pp. 8–10.) Plaintiff alleges that the duplicate transmission occurs “within milliseconds,” “simultaneously and contemporaneously,” “at the same time” the communication is sent to Defendant, and Plaintiff supports those allegations with figures depicting the Pixel’s transmissions. (Complaint, ¶¶ 32–34, 47–51, Figs. 2–4.)

Whether those transmissions are two separate communications outside the reach of Clause Two (as Defendant argues), or a contemporaneous interception of a single communication in transit (as Plaintiff argues), is a factual and technical question about how the Pixel actually operated on Defendant’s Website. It is not resolvable in Defendant’s favor on the face of the Complaint under the required liberal construction. The Court accordingly declines to follow *Crano*’s contrary conclusion at the pleading stage on this record, without prejudice to Defendant renewing the argument on a factual record.

### **C. Use of Information (Clause Three)**

Defendant argues that Plaintiff fails to allege that Meta “read” or “used” the information while in transit, and points to the absence of any allegation that Plaintiff received targeted advertising. (Dem., p. 10; Reply, p. 6.) Clause Three, however, reaches use “in any manner” or “for any purpose.” Plaintiff alleges that Meta processes, analyzes, and assimilates the intercepted data into Core and Custom Audiences, and uses it for ad targeting, analytics, content personalization, and product development. (Complaint, ¶¶ 35, 40–44; Opp., p. 10.) While a targeted-advertisement allegation may strengthen a standing showing, its absence is



not fatal to a Clause Three predicate at the pleading stage. The Complaint’s allegations of use are sufficient to survive demurrer, particularly given that Clause Three’s viability here rises or falls with the Clause Two predicate addressed above.

**D. Aiding and Abetting / Scienter (Clause Four)**

Defendant contends Plaintiff fails to plead that Proper Hospitality acted with the knowledge and intent required to aid and abet a CIPA violation. (Dem., p. 11; Reply, pp. 6–8.) Plaintiff responds that the statutory language contains no express intent requirement and that, in any event, his allegations satisfy the common-law standard. (Opp., pp. 10–12.) Courts are divided over whether Clause Four incorporates a common-law aiding-and-abetting intent standard or is governed by the broader statutory language (“aids, agrees with, employs, or conspires with”). The Court need not resolve that dispute now, because Plaintiff’s allegations are sufficient even under the more demanding common-law formulation.

Plaintiff alleges that Proper Hospitality intentionally embedded and configured the Meta Pixel on its booking Website; that it did so pursuant to an arrangement with Meta “for the purpose of improperly increasing the advertising efficiency and, by extension, profits of both parties”; and that Proper Hospitality intended to help Meta learn the meaning of the content in the URLs and the content the visitor requested. (Complaint, ¶¶ 47, 65, 82–83.) Courts have found similar allegations (that a website operator knowingly programmed third-party tracking technology into its site for advertising purposes and profit) sufficient to plead aiding-and-abetting at the pleading stage. (See *Mata v. Zillow Group, Inc.* (S.D. Cal. Dec. 18, 2024) 2024 WL 5161955, 2024 U.S. Dist. LEXIS 229061; *Esparza, supra*, 2024 U.S. Dist. LEXIS 24429, \*15–17.) The Court does not rely on Plaintiff’s alternative “presumed to know the law” theory, which would not by itself establish knowledge of wrongful conduct; the specific allegations of knowing installation and a profit-driven arrangement carry the pleading.

Accordingly, because Plaintiff has adequately alleged the predicate elements and Proper Hospitality’s derivative participation, the demurrer to the First Cause of Action is **OVERRULED**.

## **V. Second Cause of Action – Constitutional Invasion of Privacy**

To state a claim for invasion of privacy under the California Constitution, a plaintiff must allege (1) a legally protected privacy interest; (2) a reasonable expectation of privacy under the circumstances; and (3) conduct constituting a serious invasion of the protected interest—that is, an intrusion so serious in nature, scope, and actual or potential impact as to constitute an egregious breach of social norms. (*Hill v. National Collegiate Athletic Assn.* (1994) 7 Cal.4th 1, 35–37, 39–40 (*Hill*).)

### **A. Legally Protected Interest and Reasonable Expectation of Privacy**

Plaintiff grounds his protected interest in Civil Code section 53.5, which prohibits a hotel operator from disclosing “all or any part of a guest record” to a third party absent a court-issued subpoena, warrant, or order, and defines “guest record” broadly to include “any record that identifies an individual guest ... including, but not limited to,” name, address, telephone number, and similar identifiers. (Civ. Code, § 53.5(a), (c); Opp., pp. 12–14.) Defendant responds (relying on *Crano, Snyder v. G6 Hospitality LLC* (C.D. Cal. Apr. 14, 2025) 2025 WL 1254382, 2025 U.S. Dist. LEXIS 717192, and *So v. Hyatt Hotels Corp.* (N.D. Ill. May 5, 2026) 2026 WL 1235036, 206 U.S. Dist. LEXIS 98893) that booking selections such as dates, destination, and room choice are not “guest records,” and that a user has no reasonable expectation of privacy in interactions with a public-facing booking site. (Dem., pp. 12–13; Reply, pp. 8–10.)

Whether the specific information transmitted here falls within section 53.5(c) is a contested question, but the Court cannot resolve it against Plaintiff on demurrer. Unlike the plaintiff in *Crano*, Plaintiff here alleges the transmission not only of trip dates and destination but of his name, email address, telephone number, and physical address entered at checkout, along with identifiers (including a Facebook ID) that allegedly permit him to be identified by name. (Complaint, ¶¶ 50, 54, 66.) Those enumerated identifiers map onto the statutory definition.

Section 53.5 also reflects a legislative judgment that guest-record information remains confidential “by electronic or any other means,” which bears directly on the objective

reasonableness of Plaintiff's expectation. Construing the allegations liberally, Plaintiff has adequately pleaded a legally protected interest and a reasonable expectation of privacy. Defendant's "intended business purpose" argument under section 53.5 likewise raises factual issues. (Dem., p. 12.) Plaintiff alleges that the disclosure was made to a third-party advertising platform for that platform's own independent commercial use, not merely to service Plaintiff's reservation. (Complaint, ¶¶ 44, 52, 65–66; Opp., pp. 13–14.) Whether the business-purpose exception applies cannot be decided in Defendant's favor on the face of the Complaint.

### **B. Serious and "Highly Offensive" Invasion**

A line of authority holds that routine commercial data collection and disclosure (even of personal information) does not rise to the level of an "egregious breach of social norms" required for a constitutional privacy claim. (See, e.g., *Hammerling v. Google LLC* (N.D. Cal. 2022) 615 F.Supp.3d 1069, 1090; *Low v. LinkedIn Corp.* (N.D. Cal. 2012) 900 F.Supp.2d 1010, 1025; *In re iPhone Application Litig.* (N.D. Cal. 2012) 844 F.Supp.2d 1040, 1063; *Shah v. Capital One Financial Corp.* (N.D. Cal. 2025) 768 F.Supp.3d 1033, 1047; see Dem., pp. 13–14; Reply, pp. 8–9.) Our Supreme Court has confirmed that where the pleaded facts describe non-egregious conduct, the seriousness element may be resolved on the pleadings. (*Hernandez v. Hillside, Inc.* (2009) 47 Cal.4th 272, 286–287.) Under that line of authority, a demurrer could be sustained here.

Nevertheless, on balance, the Court concludes the element should not be resolved against Plaintiff at this stage, for two reasons. First, whether an intrusion is sufficiently serious and offensive is ordinarily a fact-intensive, context-dependent inquiry that courts are reluctant to resolve at the pleading stage. (*Hill, supra*, 7 Cal.4th at pp. 36–37; see Opp., p. 14 [collecting authority].) Second, and distinguishing much of the authority Defendant cites, Plaintiff does not rest on generic browsing data. He alleges the disclosure of information the Legislature has specifically designated as confidential guest-record information under section 53.5, transmitted to an advertising platform without notice or consent. (Complaint, ¶¶ 90–94; Opp., pp. 14–15.) That statutory backdrop is a relevant social norm bearing on whether the alleged intrusion is "highly offensive," and it materially differentiates this case from the routine-analytics

decisions. The Aguirre court, on parallel allegations, declined to resolve the seriousness element on demurrer, observing that although the plaintiff “may very well face difficulty actually showing” a serious invasion, “it cannot be said at this stage that it will not be established.”

The Court therefore concludes that Plaintiff has narrowly stated a constitutional privacy claim sufficient to survive demurrer. The Court emphasizes that this ruling reflects the deferential pleading standard, not a view that the claim is strong; Defendant remains free to test the “serious invasion” element on a developed factual record.

### **C. Monetary Damages**

Defendant correctly observes that Article I, section 1 of the California Constitution supports injunctive relief but not damages. (*Clausing v. San Francisco Unified School Dist.* (1990) 221 Cal.App.3d 1224, 1237; Dem., p. 14.) Plaintiff concedes the point and clarifies that the Second Cause of Action seeks only injunctive relief. (Complaint, ¶ 95; Opp., p. 15.) The issue is therefore moot and provides no basis to sustain the demurrer. To the extent the prayer could be read to seek damages on this count, the Court construes the count as limited to injunctive and declaratory relief consistent with Plaintiff’s concession.

Accordingly, the demurrer to the Second Cause of Action is **OVERRULED**.

### **VI. Conclusion**

For the reasons stated, the Court **OVERRULES** the demurrer in its entirety. Defendant shall file and serve its answer within the time provided by California Rules of Court, rule 3.1320(j).

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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## Calendar Line 2

Case Name: *Steer v. Town of Los Gatos, et al.*  
Case No.: 22CV394907

Before the Court is the motion of Real Parties in Interest Daran Goodsell and Mark Von Kaenel (the “Von Kaenel Parties”) to dismiss the Petition for Peremptory Writ of Mandate and Complaint for Declaratory and Injunctive Relief as moot. The motion is unopposed. As discussed below, the Court GRANTS the motion to dismiss.

### I. Background

Petitioner Alison Steer (“Steer”) filed this action on March 1, 2022. The Petition challenges the Town of Los Gatos’s (the “Town”) approval of Lot Line Adjustment No. M-20-012 (the “2021 Lot Line Adjustment”), which sought to reconfigure three parcels near 17200 Los Robles Way in Los Gatos. The Petition pleads three theories (abuse of discretion under the Los Gatos Municipal Code; lack of substantial evidence under the Subdivision Map Act; and violation of CEQA) and seeks a peremptory writ of mandate together with declaratory and injunctive relief. (Req. for Judicial Notice (“RJN”), Ex. 1.)

After Steer filed this action, the Town, over Steer’s objection, obtained a stay so it could consider a revised lot line adjustment application. The Town subsequently approved a revised lot line adjustment, No. M-23-01 (the “2023 Lot Line Adjustment”), pertaining to the same property. This action was stayed but not dismissed. (RJN, Exs. 1–2.)

Steer then filed a separate proceeding, *Steer v. Town of Los Gatos*, No. 24CV429584 (the “2024 Writ”), challenging the 2023 Lot Line Adjustment (No. M-23-01). The 2024 Writ expressly acknowledges that the 2023 Lot Line Adjustment revised the earlier approval. (RJN, Ex. 2, ¶¶ 3–4, 31–41.) This Department heard the 2024 Writ and, by its Order Re: Petition for Writ of Mandate entered January 17, 2025, resolved that matter, which is now pending on appeal before the Court of Appeal, Sixth Appellate District (No. H053166). In that Order, the Court observed that the prior action (this case) “challenged a different LLA (No. M-20-012) and the case was eventually stayed by the court, though it was not dismissed,” and that because

the later petition “is expressly based on a different LLA that superseded the prior LLA, the events of the prior lawsuit are not relevant.”

The Von Kaenel Parties filed the present motion to dismiss on June 15, 2026, supported by a memorandum of points and authorities and a request for judicial notice. On July 29, 2026, they filed a notice of non-opposition stating that no opposition to the motion is pending. The record before the Court contains no opposition from Steer or from any other party.

## **II. Request for Judicial Notice**

The Von Kaenel Parties request judicial notice of two records of this Court: (1) the Petition in this action, No. 22CV394907 (Ex. 1); and (2) the Petition in No. 24CV429584 (Ex. 2). The existence and contents of court records are proper subjects of judicial notice. (Evid. Code, § 452, subd. (d); *In re J.P.* (2020) 55 Cal.App.5th 229, 232, fn. 2.) The Court takes judicial notice of the existence of these filings and of the operative allegations within them, though not of the truth of any disputed factual matter asserted therein. The Court GRANTS the request for judicial notice, subject to the limitations stated.

## **III. Legal Standard**

A common-law, non-statutory motion to dismiss is a recognized vehicle for disposing of a moot pleading or proceeding. (5 Witkin, Cal. Procedure (6th ed. 2025) Pleading, §§ 1004, 1006; *McKay v. County of Riverside* (1959) 175 Cal.App.2d 247, 248 [recognizing a “non-speaking” motion to dismiss].) The device is an exercise of the court’s inherent power, in unusual circumstances, to prevent abuse of the judicial process and to end an action that no longer presents a live controversy.

“An issue becomes moot when some event has occurred which deprives the controversy of its life.” (*Giraldo v. Department of Corrections & Rehabilitation* (2008) 168 Cal.App.4th 231, 257.) Because courts decide actual controversies and do not render advisory opinions, a matter that has become moot is ordinarily subject to dismissal. (*Ibid.*)

## **IV. Analysis**

**A. Mootness of Challenge to 2021 Lot Line Adjustment**

This action challenges a single agency action: the Town’s approval of the 2021 Lot Line Adjustment, No. M-20-012. That approval has been supplanted by the Town’s later approval of the 2023 Lot Line Adjustment, No. M-23-01, pertaining to the same property. The judicially noticed 2024 Writ confirms that the 2023 Lot Line Adjustment revised the earlier approval (RJN, Ex. 2, ¶¶ 3–4, 35–41), and this Court has already determined, in the related action, that the 2023 approval “superseded the prior LLA.” The operative land-use entitlement Steer set out to overturn in this action no longer governs the property.

With the 2021 Lot Line Adjustment no longer in effect, a writ directing the Town to set that approval aside would afford Steer no effective relief, and a declaration concerning its validity would be advisory. The same is true of the requested injunctive relief. No live controversy concerning the 2021 Lot Line Adjustment remains for decision. The Petition is therefore moot.

**B. Effect of Pending Appeal in the 2024 Writ**

The pendency of the appeal in No. 24CV429584 (Court of Appeal No. H053166) does not revive this action. That appeal concerns the validity of the 2023 Lot Line Adjustment, not the 2021 Lot Line Adjustment challenged here. Even a reversal and remand directed at the 2023 approval would not reinstate the superseded 2021 approval or restore a live dispute over it. The two proceedings target distinct agency actions and have not been consolidated.

**C. Non-Opposition**

Petitioner Steer has not opposed the motion. A party’s failure to oppose a motion may be construed as an abandonment of any objection and, in the trial court’s discretion, as a concession that the motion has merit. (See Cal. Rules of Court, rule 8.54(c) [failure to oppose may be deemed a waiver].) In any event, mootness is a matter the Court independently assesses, and the judicially noticed records establish it here.

**D. No Discretionary Exception Warranted**

A court retains discretion to decide an otherwise moot matter that presents an issue of broad public interest likely to recur yet to evade review, or where a material question remains for the court's determination. (See, e.g., *Edelstein v. City and County of San Francisco* (2002) 29 Cal.4th 164, 172.) No party has invoked any such exception, and none is apparent. This case turns on the validity of a specific, now-superseded lot line adjustment affecting a single property; it presents fact-bound land-use questions rather than a recurring issue of broad public importance that would evade review. The Court declines to exercise its discretion to retain the action.

**V. Conclusion**

The motion to dismiss is GRANTED. The Petition for Peremptory Writ of Mandate and Complaint for Declaratory and Injunctive Relief is dismissed as moot.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Case will be dismissed and closed upon filing of the order after hearing.

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### **Calendar Line 3**

Case Name: *Khatanbaatar v. Infogain Technologies, Inc. et al.*  
Case No.: 23CV424955

This is a putative class and representative action arising from alleged wage and hour violations. In the operative Second Amended Complaint against defendant Infogain Technologies, Inc. (“Defendant”), plaintiff Orgil Khatanbaatar alleges failures to provide meal and rest periods, pay hourly wages and overtime, pay proper sick pay, provide accurate wage statements, timely pay final wages, and reimburse business expenses, as well as related unfair competition and PAGA penalties.

Plaintiff moves for preliminary approval of the settlement reached by the parties, and the motion is unopposed. As discussed below, the Court GRANTS the motion for preliminary approval and sets a final approval hearing for March 3, 2027 at 1:30 p.m. in Department 5.

Case Management Conference at 2:30 p.m. is VACATED.

#### **I. Legal Standard**

“In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The most important factor is the strength of the plaintiff’s case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Similar to its review of class action settlements, a trial court must also “review and approve” any settlement of an action filed under the Private Attorneys General Act (“PAGA”). (Lab. Code, § 2699, subd. (s)(2).) The trial court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the statutory maximum. (*Carrington v. Starbucks*

*Corp.* (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

## **II. Discussion**

### **A. Provisions of the Settlement**

This case has been settled on behalf of the following class:

All current and former non-exempt employees of Defendant who worked in California during the Class Period [October 27, 2019 through May 30, 2025].

(Declaration of Marta Manus (“Manus Decl.”), ¶ 14, Ex. 1 (“Agreement”), § 1.12.) The settlement includes a subset PAGA group of Aggrieved Employees, defined as “all current and former non-exempt employees of Defendant who worked in California” during the PAGA Period [October 27, 2022 through May 30, 2025]. (*Id.* at §§ 1.4, 1.34.)

Defendant will pay a non-reversionary gross settlement amount of \$307,500. The gross settlement amount includes attorney fees of up to one-third of the gross settlement amount (\$102,500); litigation costs of up to \$25,000; a PAGA allocation of \$15,000 (75 percent of which, or \$11,250, will be paid to the LWDA and 25 percent of which, or \$3,750, will be paid to Aggrieved Employees as individual PAGA payments); a service payment of up to \$10,000; and settlement administration costs estimated at up to \$8,000. (Motion, pp. 3:14–4:12; Manus Decl., ¶ 8.) The estimated net settlement amount of approximately \$147,000 will be distributed to approximately 122 class members on a pro rata basis according to workweeks worked, yielding an estimated average individual settlement payment of approximately \$1,204.92. (Manus Decl., ¶ 8.)

The Agreement provides that Apex Class Action, LLC (“Apex”) will serve as the neutral entity that will administer the settlement. (Agreement, § 7.1.) The Court appoints Apex as the settlement administrator.

The Agreement further provides that funds from uncashed and cancelled settlement checks will be transmitted to the California State Controller’s Unclaimed Property Fund in the name of the Class Member. (Agreement, § 4.4.3.) Code of Civil Procedure section 384 mandates that unclaimed or abandoned class members’ funds be given to “nonprofit

organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy programs, or to nonprofit organizations providing civil legal services to the indigent.” In the Court’s view, the Agreement’s unclaimed-funds provision at paragraph 4.4.3 does not comply with Code of Civil Procedure section 384. Therefore, prior to mailing of the Class Notice, the parties shall meet and confer to designate a *cy pres* beneficiary and amend the Class Notice accordingly.

In exchange for the settlement, the Participating Class Members agree to release Defendant and related persons and entities from “all claims arising during the Class Period that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint.” (Agreement, § 5.2.) Aggrieved Employees will be deemed to release Defendant and related persons and entities from “all claims for civil penalties under PAGA arising during the PAGA Period that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint and PAGA Notice” (dated October 27, 2023). (*Id.* at § 5.3.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

## **B. Fairness of the Settlement**

Plaintiff contends that the Agreement meets the standards for preliminary approval. (Motion, pp. 8:16–11:3.) Plaintiff’s counsel states that the parties participated in mediation with Brandon McKelvey, Esq., on March 31, 2025. (Manus Decl., ¶ 6.) Prior to mediation, Defendant produced a representative sample of class-member time and pay data, along with its wage and hour policy documents and other relevant information, which Plaintiff’s counsel analyzed. (*Id.* at ¶¶ 18, 20.) According to the analysis by Plaintiff’s counsel, the estimated maximum potential value of the class and PAGA claims is approximately \$3,215,158.35, and the estimated realistic value of these claims is approximately \$559,180.92. (*Id.* at ¶¶ 23–33; Motion, pp. 10:12–11:3.)

The gross settlement amount of \$307,500 represents approximately 9.6 percent of the maximum value of the claims and approximately 59 percent of the estimated realistic value of

the claims, which is within the general range of percentage recoveries that California courts have found to be reasonable. In addition, Plaintiff's counsel has adequately explained the settlement process and the rationale supporting the gross settlement amount.

The Court has reviewed Plaintiff's written submissions and is satisfied that the settlement is fair and may be approved.

**C. Service Award, Fees and Costs**

Plaintiff seeks a service award of \$10,000 and has provided a declaration describing her participation in this action, including approximately 40 hours devoted to the litigation. (Declaration of Orgil Khatanbaatar, ¶¶ 6–9.) The Court is inclined to approve the service award in the amount requested and will issue its determination at the final approval hearing. Class counsel will seek attorney fees of up to one-third of the gross settlement amount (\$102,500). Prior to the final approval hearing, class counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

**D. Conditional Certification of Class**

Plaintiff requests that the class be conditionally certified for purposes of the settlement. California Code of Civil Procedure section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court ...”

Plaintiff states that there are approximately 122 class members who can be identified from a review of Defendant's employment and payroll records. (Manus Decl., ¶ 14.) The Court finds that there are common questions regarding whether class members were subjected to Defendant's allegedly unlawful wage and hour policies and practices, and that the proposed class may be conditionally certified for settlement purposes.

**E. Class Notice**

California Rules of Court, rule 3.769, subdivision (f), provides, “If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.”

Here, the form of the notice is generally adequate subject to the modifications set forth below. It describes the lawsuit, explains the settlement, and states the settlement amounts, including attorney fees and the payment to the named plaintiff, and it will be translated into Spanish. The notice informs class members that they may appear at the final approval hearing to object to the settlement.

As discussed above, the Court instructs the parties to meet and confer to designate a *cy pres* beneficiary in accordance with Code of Civil Procedure section 384 – and to amend the Class Notice accordingly – prior to its mailing. In addition, the following language regarding the final approval hearing shall be added to the notice:

Class members may appear at the final approval hearing in person or remotely using the link for Department 19, and should review the remote appearance instructions beforehand:

<https://santaclara.courts.ca.gov/online-services/remote-hearings>

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above modifications to the notice prior to its mailing, the notice is approved.

### **III. Conclusion**

The Court GRANTS the motion for preliminary approval and sets a final approval hearing for March 3, 2027 at 1:30 p.m. in Department 5.

Case Management Conference at 2:30 p.m. is VACATED.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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## **Calendar Lines 4 – 5**

Case Name: *Bobadilla v. Loan Factory, Inc.*  
Case No.: 24CV432129

This is a certified class action for misappropriation of likeness. Defendant Loan Factory, Inc. (“Loan Factory” or “Defendant”) displayed the names, photographs, and NMLS numbers of thousands of unaffiliated California loan officers on a “Find a Loan Officer” subpage of its website for a period of weeks in 2023. On behalf of the certified class, Plaintiff Derek Bobadilla asserts four causes of action: statutory misappropriation under Civil Code section 3344; common-law misappropriation; violation of the Unfair Competition Law (“UCL”); and unjust enrichment.

Before the Court are the following: (1) Defendant’s motion for summary judgment, or alternatively, summary adjudication; and (2) Defendant’s motion to stay the mailing of the class notice. For the reasons discussed below, the Court DENIES Defendant’s summary judgment/adjudication motion in its entirety and GRANTS IN PART Defendant’s motion to stay the mailing of the class notice.

### **I. Background**

While the parties largely do not dispute the material facts, they do dispute their legal significance. For a period of weeks between late May and mid-July 2023, Loan Factory’s website included a searchable directory that could display a loan officer’s name, photograph, and NMLS identification number, drawn from public sources and gathered by “scraping.” (Defendant’s Separate Statement of Undisputed Material Facts (“D’s UMF”) 1–15.) Loan Factory did not obtain consent from, or pay, the unaffiliated officers. (Plaintiff’s Separate Statement of Additional Material Facts (“P’s AMF”) 25, 36.) It removed outside officers from the webpage by mid-July 2023. (D’s UMF 7.) The Court certified the class on June 11, 2026, and Defendant has since petitioned the Court of Appeal for a writ of mandate directed at that order.

The parties dispute the character and effect of Defendant’s “Find a Loan Officer” webpage. Plaintiff casts it as a deliberate search-engine-optimization and lead-generation

device that used competitors' identities to drive traffic, displayed Loan Factory's branding and loan-application links throughout, and omitted any disclaimer of non-affiliation. (P's AMF 17–24, 43–56, 72–90.) Loan Factory casts it as a short-lived, truthful directory that identified each officer's own brokerage and caused no measurable harm. (D's UMF 7–19.) The jury decides which of these characterizations and related inferences to accept.

## **II. Legal Standard on Summary Judgment**

Summary judgment is proper only where the papers show no triable issue of material fact such that the moving party is entitled to judgment as a matter of law. (Code Civ. Proc., § 437c, subd. (c).) A defendant carries its initial burden by showing that an element of each cause of action cannot be established, whether by affirmative evidence or by pointing to the plaintiff's factually devoid discovery after adequate opportunity. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850–855.) The burden then shifts to the plaintiff, who need not prove its case but only produce admissible evidence raising a triable issue. The Court neither weighs the evidence nor judges credibility. It construes the opposition liberally, scrutinizes the moving papers strictly, and resolves every reasonable inference and every doubt in the opposing party's favor. (*Id.* at pp. 843, 856–857.)

## **III. Plaintiff's Request for Summary Judgment**

Plaintiff asks the Court to judicially notice legislative-history materials concerning Civil Code section 3344 (Exhibit 77) and a historical edition of Black's Law Dictionary defining "actual" and "nominal" damages (Exhibit 78). Legislative history is a proper subject of judicial notice under Evidence Code section 452, subdivisions (b) and (c), and a dictionary's contents may be noticed as a source of reasonably indisputable accuracy under subdivision (h). The Court GRANTS the request as to the existence and content of these materials. On the other hand, the Court DENIES the request to the extent that Plaintiff would have the Court notice any disputed fact, or adopt any contested legal proposition, as true merely because it appears in these sources. In other words, the Court notices what the documents say but does not accept them as proof of what the parties dispute.



#### **IV. Evidentiary Objections**

Both sides have lodged objections. On a summary-judgment motion, the Court need rule only on those objections it deems material to its disposition. (Code Civ. Proc., § 437c, subd. (q).) Objections directed at evidence the Court has not relied upon are overruled as moot, and the Court declines to rule on them individually. The Court makes the following specific rulings.

First, Defendant objects on hearsay grounds to posts from a loan-officer social-media group offered to show that officers reacted with anger to the directory. To the extent those posts are offered to prove the officers' then-existing state of mind, they are not hearsay, or they fall within the state-of-mind exception. (Evid. Code, §§ 1250, 1200.) While Defendant's objection is **OVERRULED** for that limited purpose, the posts are not received for the truth of any other matter asserted. In any event, the deposition testimony of Bobadilla and Eiding (i.e., that they were "furious" at the unconsented use of their names and images) is their own testimony and is admissible.

Next, as to Defendant's challenges to the opinions of Plaintiff's expert Herzberg, the Court declines to rule under section 437c(q), because those opinions are not material to the disposition. The Court reaches its conclusion on the summary-judgment motion without relying on Herzberg's regulatory-risk speculation, and it expresses no view here on the pending motion to strike or on the admissibility of his opinions at trial.

Finally, Plaintiff's objections to Loan Factory's evidence are **OVERRULED** to the extent the Court has not relied on that evidence and are otherwise deemed immaterial.

#### **V. Motion for Summary Judgment or Summary Adjudication**

##### **A. Injury and the Statutory Minimum**

Defendant's motion focuses on its contentions that Plaintiff has no evidence of injury and injury is an essential element of every claim. (MSJ, pp. 5–8, 12–14; Reply, pp. 3–5.) While

the first proposition overstates the record, in the Court’s view, the second proposition states a genuine and unsettled question of law that largely controls here.

The California appellate courts have not yet squarely decided whether a plaintiff seeking only the section 3344 statutory minimum of \$750 must prove the *fact* of injury, or whether that minimum operates as a floor once knowing use, commercial advantage, and lack of consent are shown. Loan Factory reads the statute’s references to the “injured party” as a universal predicate to recovery, and it invokes *Slivinsky v. Watkins-Johnson Co.* (1990) 221 Cal.App.3d 799, 807, together with federal decisions such as *Cohen v. Facebook, Inc.* (MSJ, pp. 5, 12–13; Reply, pp. 4–5.) Plaintiff reads *Miller v. Collectors Universe, Inc.* (2007) 159 Cal.App.4th 988, and *Fraley v. Facebook, Inc.* (N.D.Cal. 2011) 830 F.Supp.2d 785, to mean that the statutory minimum exists precisely to supply a remedy where a non-celebrity’s harm is real but difficult to quantify. (Opp., pp. 8–11.) While each side presents valid arguments, neither has a controlling California case directly on point. Notably, Loan Factory itself describes the minimum as a “floor for damages when injury exists but is difficult to measure in economic terms.” (MSJ, p. 14.)

The Court has already confronted this question once. In certifying the class, it held that “if Loan Factory is liable under section 3344, every class member is entitled to at least \$750 without individualized proof of actual harm,” and that “the statutory minimum exists to fill the gap for noncelebrity plaintiffs whose names lack established market value and whose harm is difficult to quantify.” (Class Cert. Order 11:2–7, quoted at Opp., pp. 8 and Joint Status Report/Trial Plan, p. 3.) That reasoning was necessary to the Court’s finding of predominance. The Court sees no reason to reject it now, and several reasons to follow it. The statute’s text accommodates the reading. *Miller*’s account of the legislative purpose supports it. And the alternative (i.e., that a class the Court has certified on the premise of a class-wide statutory remedy could be dismissed wholesale for want of individualized injury proof) would not conform with the order that defines this case. The Court adheres to its prior construction. For the section 3344 claim seeking the statutory minimum, Plaintiff need not tender individualized proof of actual harm.

That conclusion does not end the analysis because the Court recognizes the question is close and is now before the Court of Appeal. As discussed below, the Court independently finds that even if some quantum of injury must be shown, the record raises triable issues.

**B. First Cause of Action – Civil Code section 3344**

For the statutory minimum, injury is presumed, as explained above. Independent of that, triable issues of injury still exist. Bobadilla and Eidinger each testified they were furious at the nonconsensual commercial use of their identities. (Opp., pp. 18–19; P’s SS UMF 66–67, 74.) That testimony, taken in the light most favorable to Plaintiff, is evidence of emotional distress and injury to peace of mind, which is the very form of harm that *Miller and Fairfield v. American Photocopy* (1955) 138 Cal.App.2d 82 identify as the object of the statutory remedy. (See MSJ, pp. 6–7, 19.) Loan Factory’s response, that anger is not “mental anguish” and that no class-member declarations were submitted, is an argument about the weight and sufficiency of the proof. (Reply, pp. 9–10.) This is a jury argument that does not negate the existence of a triable issue.

In addition, it is undisputed that Loan Factory gathered these identities deliberately, instructing its engineers to “capture everything[,] ESPECIALLY THE IMAGE,” and that it valued a loan officer’s personal brand as a “superpower.” (P’s SS UMF 33, 34, 84; Opp., pp. 3–4.) A trier of fact could reasonably infer from Loan Factory’s own conduct that the appropriated identities had value, and that their uncompensated use caused an injury. Whether that inference should be drawn is not for the Court to decide on this motion, but for the ultimate trier of fact.

Accordingly, summary adjudication is DENIED as to the First Cause of Action.

**C. Second Cause of Action – Common-Law Misappropriation**

The common-law claim shares the injury element with the statutory claim, without the benefit of the statutory-minimum presumption. (See MSJ, pp. 12–14.) But the emotional-injury evidence and the loss-of-control theory carry the claim past summary judgment on their own. The right of publicity protects a person’s ability to control the commercial use of his identity.

The deprivation of that control – here, by a direct competitor, without consent – is itself a recognized injury. (*Abdul-Jabbar v. General Motors Corp.* (9th Cir. 1996) 85 F.3d 407, 416; Opp., pp. 15–16.) The claim proceeds.

Accordingly, summary adjudication is DENIED as to the Second Cause of Action.

#### **D. Third Cause of Action – Unfair Competition Law**

This is the closest question, and the Court has carefully considered it. To pursue a UCL claim a private plaintiff must have lost money or property. (MSJ, p. 12; Reply, pp. 8.) That requirement is real, and no statutory-minimum presumption supplies it. Loan Factory’s evidence shows, persuasively, that plaintiff has no proof of *quantified* economic loss — no diverted customers, no lost revenue, no valuation. (MSJ, 15–18; UMF 22–36, 57–61; Reply, pp. 6–9.) Were the UCL’s standing requirement limited to lost money, the Court might well grant the motion as to this claim.

But the requirement is stated in the disjunctive: money or property. Under California law the right of publicity is a form of property. (See Opp., pp. 13, 15–16.) Loan Factory bore the burden, as the moving party, to negate the property prong; its showing negates lost money, but it does not conclusively negate a loss of the property interest in controlling and licensing one’s own identity, which the undisputed nonconsensual commercial use implicates. On this record, and drawing inferences in Plaintiff’s favor, a triable issue remains as to whether class members lost “property” within the meaning of the UCL, and as to whether restitution of the value of the unauthorized use is available. (*Id.* at pp. 13–15.)

Accordingly, summary adjudication is DENIED as to the Third Cause of Action. Nevertheless, the Court cautions that Plaintiff will bear the burden at trial of proving a qualifying loss, and that the theories of diversion and lost market share find no support in the present record. (MSJ, pp. 15–18; Reply, pp. 6–9.)

#### **E. Fourth Cause of Action – Unjust Enrichment**

Loan Factory moved against this claim on a single theory: that it is “merely derivative” of the misappropriation claims and fails with them. (MSJ, p. 12; Reply, pp. 7–8.) The misappropriation claims do not fail. The derivative argument therefore fails with them. The Court expresses no view on whether unjust enrichment is independently cognizable as a stand-alone cause of action under California law, because Loan Factory did not move on that ground and the point is not before the Court.

Accordingly, summary adjudication is DENIED as to the Fourth Cause of Action.

#### **F. Trial Management**

The Court’s denial of summary judgment does not approve every theory Plaintiff has mentioned. The record contains no evidence of customer diversion, no evidence of lost market share, and no quantified computation of economic damages; Plaintiff’s own witnesses and experts disclaimed each. (MSJ, pp. 15–18; UMF 22–36, 57–61, 75–100; Reply, pp. 6–9.) Those theories will not reach the jury absent a foundation which has not yet been laid. The claims proceed to trial on the statutory-minimum remedy, on the loss-of-control theory, on the unjust-enrichment measure of Loan Factory’s benefit, and on the disputed question of emotional injury. The parties should frame their trial plan, jury instructions, and verdict form accordingly, mindful of the individualized-issue concerns Loan Factory has raised under section 3344, subdivision (e). (Joint Status Report/Trial Plan, pp. 5–6.)

#### **VI. Motion to Stay Class Notice**

Loan Factory separately moves, under Code of Civil Procedure section 187 and the Court’s inherent authority, to stay the mailing of class notice pending the Court of Appeal’s disposition of its writ. (Mot. to Stay, pp. 3, 5.) The Court’s power to grant such relief is clear and is not seriously disputed. The exercise of that power is a matter of judicial discretion and judgment, and it requires the Court to weigh the efficiency the stay would serve against the prejudice it would impose. (*Freiberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489; Mot. to Stay, p. 5.)

Here, that balance favors a limited stay. Class notice is expensive to send and difficult to retract. To mail it now, while the certification order is under active appellate review, would risk a wasted or confusing notice and a corrective re-mailing should the Court of Appeal act. (Mot. to Stay, pp. 3, 5–6.) Against that risk, the prejudice of a brief deferral is slight, because the stay reaches only the notice mailing and halts nothing else. The parties’ own joint plan, moreover, already contemplates that notice will issue after the Court’s summary-judgment ruling and after approval of a notice plan, and no later than thirty days before trial. A narrow stay does little more than confirm the sequence the parties have themselves proposed. On the other hand, the equities do not support an open-ended stay.

Accordingly, the motion to stay is GRANTED IN PART. The mailing of class notice is stayed until the earliest of: (1) the Court of Appeal’s disposition of the writ petition, including the dissolution or expiration of any interim appellate stay; (2) this Court’s approval of a class-notice plan following today’s ruling, after which notice may proceed on the parties’ proposed schedule; or (3) further order of the Court. The parties shall promptly report any appellate ruling.

In view of this temporary stay of notice, with the imminence of the current trial date next month and the even more imminent transfer of this case to Department 5 for all purposes, the Court finds good cause at this time to VACATE the September 14 trial date and ALL related pretrial hearing dates.

The Court will discuss at Case Management Conference with counsel all pretrial and trial dates, and intends to set a further Case Management Conference/Trial Setting Conference within 30-45 days.

## **VII. Conclusion**

For the reasons stated, the Court orders as follows:

1. Defendant’s motion for summary judgment is DENIED.
2. Defendant’s alternative motion for summary adjudication is DENIED as to the first, second, third, and fourth causes of action.

3. Defendant's motion to stay class notice is GRANTED IN PART, on the limited terms stated in Part VI.
4. The Court will discuss with counsel new trial and pretrial dates, as set forth above.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

## **Calendar Line 5**

Case Name:

Case No.:

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## **Calendar Lines 6 – 8**

Case Name: *Turiello v. Piping Systems Engineering Inc.*  
Case No.: 25CV464775

Before the Court are three motions to seal filed pursuant to California Rules of Court, rules 2.550 and 2.551: (1) Plaintiffs’ Motion to File Joint Case Management Conference Statement Under Seal (filed April 24, 2026); (2) Plaintiffs’ Motion to File Opposition to Proposed Intervenor’s Motion to Intervene Under Seal (filed March 3, 2026); and (3) Proposed Intervenor Central Sprinkler LLC and Johnson Controls, Inc.’s Motion to File Reply Memorandum in Further Support of Motion to Intervene Under Seal (filed May 21, 2026). The motions are unopposed. As discussed below, the Court GRANTS the motions to seal.

### **I. Background**

This action arises from alleged defects in a Firefighter Air Replenishment System (FARS) developed by Rescue Air Systems, Inc. (“Rescue Air”), a company founded by plaintiff Anthony Turiello in 1993. Rescue Air contracted with defendants Piping Systems Engineering, Inc. and Hydraulics International, Inc. for work relating to FARS. In October 2022, Plaintiffs sold Rescue Air to intervenors Johnson Controls, Inc. and Central Sprinkler LLC (collectively, “JCI”) pursuant to a Purchase Agreement containing confidentiality provisions. Following the acquisition, JCI discovered alleged defects in FARS and withheld earn-out payments from plaintiffs, claiming indemnification rights. Plaintiffs filed this action in April 2025. The Court granted JCI’s motion to intervene in May 2026.

This Court has addressed multiple sealing motions in this action. On December 2, 2025, the Court denied Plaintiffs’ first motion to seal a joint case management statement, finding the requirements of California Rules of Court, rule 2.550(d) were not satisfied and that the motion was not supported by facts establishing an overriding interest, substantial probability of prejudice, narrow tailoring, or absence of less restrictive means. On February 25, 2026, the Court continued Plaintiffs’ motion to seal their opposition to the ex parte application, finding that while Plaintiffs had adequately explained an overriding interest, they had not sufficiently shown substantial probability of prejudice or that no less restrictive means existed.

On May 6, 2026, the Court granted motions to seal filed by both Plaintiffs and JCI relating to the motion to intervene and joint case management statements. The Court found an overriding interest based on the parties' binding contractual agreement not to disclose and because the information involves confidential matters pertaining to business operations. The Court further found substantial probability that these overriding interests would be prejudiced and that the other factors set forth in rule 2.550 were satisfied. On May 20, 2026, the Court granted Plaintiffs' motion to seal their opposition to the ex parte application, applying the same analysis and finding the factors satisfied.

## **II. Legal Standard**

"The court may order that a record be filed under seal only if it expressly finds facts that establish: (1) There exists an overriding interest that overcomes the right of public access to the record; (2) The overriding interest supports sealing the record; (3) A substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) The proposed sealing is narrowly tailored; and (5) No less restrictive means exists to achieve the overriding interest." (Cal. Rules of Court, rule 2.550(d).) Pleadings, in particular, should be open to public inspection "as a general rule," although they may be filed under seal in appropriate circumstances. (*Mercury Interactive Corp. v. Klein* (2007) 158 Cal.App.4th 60, 104, fn. 35.)

"Courts have found that, under appropriate circumstances, various statutory privileges, trade secrets, and privacy interests, when properly asserted and not waived, may constitute overriding interests." (*In re Providian Credit Card Cases* (2002) 96 Cal.App.4th 292, 298, fn. 3 (*Providian*).) "[A] binding contractual agreement not to disclose" may suffice. (*Huffy Corp. v. Superior Court* (2003) 112 Cal.App.4th 97, 107.) In addition, confidential matters relating to the business operations of a party may be sealed where public revelation of the information would interfere with the party's ability to effectively compete in the marketplace. (See *Universal City Studios, Inc. v. Superior Court* (2003) 110 Cal.App.4th 1273, 1285-1286.)

## **III. Motions to Seal**

Plaintiffs' counsel has filed declarations in support of Plaintiffs' instant motions to seal. (See Declaration of Nicole L. Chessari in Support of Plaintiffs' Motion to File Joint Case Management Conference Statement Under Seal (filed April 24, 2026) and Declaration of Nicole L. Chessari in Support of Plaintiffs' Motion to File Opposition to Proposed Intervenor's Motion to Intervene Under Seal (filed March 3, 2026).) JCI's counsel has also filed a declaration in support of their instant motion to seal. (See Declaration of Rachel E. Mueller in Support of Proposed Intervenor's Central Sprinkler LLC and Johnson Controls, Inc.'s Motion to File Reply Memorandum in Further Support of Motion to Intervene Under Seal (filed May 21, 2026).)

Having reviewed the three instant motions to seal as well as the supporting memoranda and declarations submitted by counsel relating to these three motions to seal, the Court finds that there is an overriding interest in sealing the materials in question because the parties are under a binding contractual agreement not to disclose this information and because the information involves confidential matters pertaining to business operations. The Court further finds that there is substantial probability that these overriding interests would be prejudiced and that the other factors set forth in rule 2.550 are satisfied.

Accordingly, the Court GRANTS the motions to seal.

#### **IV. Conclusion**

The Court GRANTS: Plaintiffs' Motion to File Joint Case Management Statement Under Seal; Plaintiffs' Motion to File Opposition to Proposed Intervenor's Motion to Intervene Under Seal; and Proposed Intervenor Central Sprinkler LLC and Johnson Controls, Inc.'s Motion to File Reply Memorandum in Further Support of Motion to Intervene Under Seal.

Plaintiffs shall prepare the order.

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## **Calendar Line 7**

Case Name:

Case No.:

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## **Calendar Line 8**

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## **Calendar Line 9**

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## **Calendar Line 12**

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